www.tntextbooks.in

Ledger accounts

Dr. **Salaries account** **Cr.**

Date	Particulars	J.F.	`	Date	Particulars	J.F.	`
2018							
May 20	To Cash A/c		15,000				

Dr. **Electricity charges account** **Cr.**

Date	Particulars	J.F.	`	Date	Particulars	J.F.	`
2018							
May 20	To Cash A/c		8,000				

Dr. **Wages account** **Cr.**

Date	Particulars	J.F.	`	Date	Particulars	J.F.	`
2018							
May 20	To Cash A/c		2,000				

Dr. **Cash account** **Cr.**

Date	Particulars	J.F.	`	Date	Particulars	J.F.	`
				2018			
				May 20	By Salaries A/c		15,000
					By Electricity charges A/c		8,000
					By Wages A/c		2,000

Illustration 4

On 15th March, 2017, Ramesh paid ` 13,800 in full settlement of his account ` 15,000 due to his creditor Dinesh. Pass journal entry and prepare ledger accounts.

Solution

In the books of Ramesh

Journal entry

Date	Particulars	L.F.	Debit `	Credit `
2017				
March 15	Dinesh A/c Dr.		15,000	
	To Cash A/c			13,800
	To Discount received A/c			1,200
	(Paid Dinesh in full settlement of his account)			